

26.04.2023

Dear

It has been some time since we shared our thoughts on the Indian sesame markets as the situation was quite lackluster and lack of good quality local raw material supply was augmented by imports from Nigeria, Sudan and Brazil over the last 4 months.

With our summer crop harvest over the horizon, we now have a fighting chance to get back into the game with good quality natural seed at competitive prices. Even as we say this, we are still facing the vagaries of weather with sporadic bursts of rain in some parts of Gujarat. If this is just rainfall, we should hopefully be ok in terms of crop qualities as the crop is still maturing and the pods are closed. In case this rainfall is accompanied by wind, we would see stalks bending into the fields and this would lead to a drop in crop quantities. We continue to keep our fingers crossed.

In terms of crop size, the latest sowing data shows that the crop size is likely to be in the range of 140,000 – 165,000 Mt. We could see some variations depending on the loss due to rainfall, if any.

Demand for natural seed from Korea continues to keep us in the game. The current tender last week is proof of this fact. While we understand that they have a mental price cap of USD. 2000.00 per ton, we expect India to have the lions share in the subsequent tenders for the next 3 months and we would ship atleast 12 – 15,000 mt there. Demand from the Middle East and South East Asia was reasonable before and during Ramadan. We also continue to see demand from the EU for hulled sesame as we are competitive and the quality issues of the past are behind us as an origin.

West Africa is largely sold out and East Africa will be offering new crop only for June – July assuming the wet weather ceases there. The challenges in Sudan, would lead to a hiccup in the supply chain for sure considering we are already 2 weeks into this unfortunate conflict. Brazil, with their new crop in June – July would be something that we need to watch for. Between supply from East Africa, India and Brazil over the next few months we anticipate a comfortable supply situation for the global markets, save for weather related issues.

We are seeing regular inquiries for hulled as well as natural sesame seeds as our pricing is now globally competitive for both.

Current **FOB** prices are as follows for May – June shipping.

Natural Whitish Sesame 99/1/1 – USD. 1740.00 pmt

Natural Whitish Sortex, 99.95 % - USD. 1840.00 pmt

Natural Black Sortex, 99.95% - USD. 1965.00 pmt

Natural Jet Black Sortex 99.95 % - USD. 2025.00 pmt

Hulled Sesame – 99.98 % - USD. 2225.00 pmt
Hulled Sesame – 99.95% - USD. 2195.00 pmt
Hulled Sesame – 99.90 % - USD. 2100.00 pmt

We are also offering hulled sesame for the EU.

Kindly revert interest for shipments starting May – June 2023.

Regards – Sanjiv Sawla

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